

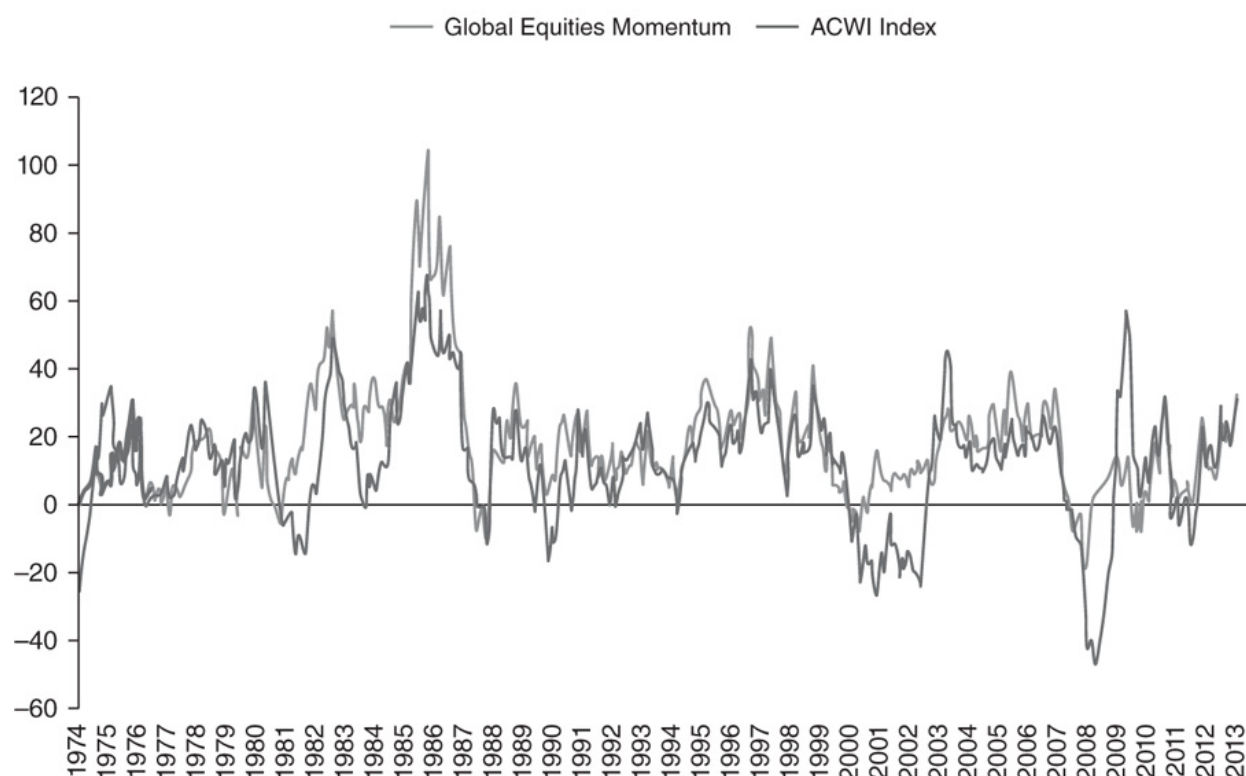


Figure 8.7 GEM and ACWI Rolling 12-Month Returns, 1974–2013

As a check on robustness, [Table 8.5](#) shows GEM with look-back values ranging from 3 to 12 months. All GEM look-back configurations are superior to ACWI in terms of Sharpe ratio and maximum drawdown.

Table 8.5 GEM Look-Back Periods, 1974–2013

	GEM12	GEM 9	GEM 6	GEM 3	ACWI
Annual return	17.43	15.85	14.37	13.90	8.85
Annual std dev	12.64	12.39	11.84	12.04	15.56
Annual Sharpe	0.87	0.78	0.71	0.65	0.22
Max drawdown	-22.72	-18.98	-23.51	-23.26	-60.21

[Figure 8.8](#) shows the cumulative performance of GEM, relative momentum, and absolute momentum in relation to ACWI. Notice how much stronger dual momentum is than either absolute or relative momentum. We also see how GEM benefited from absolute momentum in 1982, 2001, and